

# American Superconductor

Initiation of coverage · Huy Dinh · October 2026

RATING  
**Underweight**

|                   |                     |                   |                   |                    |
|-------------------|---------------------|-------------------|-------------------|--------------------|
| Price, 2 Oct 2026 | Blended value       | Market cap        | Enterprise value  | My entry view      |
| <b>\$30.01</b>    | <b>\$16.88</b> -44% | <b>\$1,453.7M</b> | <b>\$1,341.9M</b> | <b>\$9 to \$11</b> |

## WHY I RATE IT UNDERWEIGHT

- 1 Growth came from deals.** Revenue rose 34% in the year to Mar-26, but only 3% in the June 2026 quarter without Comtrafo.
- 2 Profit is thin.** Adjusted EBITDA margin is 6.4% over 12 months; peers earn 17.7%. The \$133.8M net income in Mar-26 included a \$117.1M non-cash tax gain.
- 3 The price expects success.** Even my Bull case (\$24.45) is below \$30.01. My Base DCF supports only 29% of the operating value the market implies.
- 4 The balance sheet is real.** \$143.7M of cash, no debt and about \$625M of US tax losses add about \$3.79 a share.

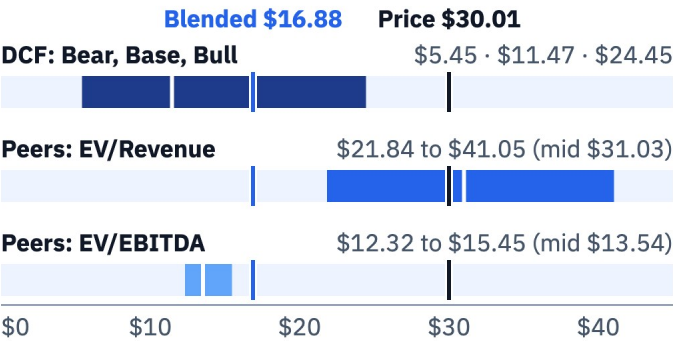
## KEY NUMBERS

|                                 |                         |
|---------------------------------|-------------------------|
| Revenue, year to Mar-26         | <b>\$299.2M (+34%)</b>  |
| Gross margin, year to Mar-26    | <b>30.5%</b>            |
| Gross margin, June 2026 quarter | <b>26.3%, was 33.8%</b> |
| Adjusted EBITDA, last 12 months | <b>\$20.5M (6.4%)</b>   |
| Free cash flow, last 12 months  | <b>\$20.5M</b>          |
| Backlog, 30 June 2026           | <b>\$420.6M</b>         |
| Cash (no debt)                  | <b>\$143.7M</b>         |

## MAIN RISKS

- Customers.** Inox is 15% of sales and Fuji Bridex 10%.
- Backlog.** The \$420.6M can be cancelled or delayed.
- Controls.** A material weakness over the Comtrafo accounting.
- Goodwill.** \$176.7M could be written down if deals disappoint.
- Patents.** They expire from 2024 to 2027.

## VALUE PER SHARE



White tick: Base case or peer median. Blended value = 50% DCF Base + 25% EV/Revenue + 25% EV/EBITDA.

## THREE SCENARIOS

|                          | Bear          | Base           | Bull           |
|--------------------------|---------------|----------------|----------------|
| Revenue Mar-27, \$M      | 339.4         | <b>382.2</b>   | 446.0          |
| Revenue Mar-31, \$M      | 364.6         | <b>673.5</b>   | 1,547.0        |
| EPS Mar-27               | \$0.08        | <b>\$0.27</b>  | \$0.42         |
| EPS Mar-31               | \$0.30        | <b>\$1.32</b>  | \$4.18         |
| <b>DCF value a share</b> | <b>\$5.45</b> | <b>\$11.47</b> | <b>\$24.45</b> |
| Against \$30.01          | -82%          | <b>-62%</b>    | -19%           |

## WHAT WOULD CHANGE MY VIEW

- Organic growth** above 10% for three quarters (now 3%).
- Gross margin** back above 30% (now 26.3%).
- Revenue** near \$96M a quarter, which Base needs (record: \$94.1M).
- Named data center orders**, and Inox below 15% of sales.

This report is an independent research project for learning and portfolio purposes. It is not investment advice or a recommendation to buy or sell any security. All figures are estimates, they depend on judgments that are stated in the report, and prices are as of 2 October 2026.

Sources: AMSC filings, peer market data, my model.